4.6 Revenue Analysis

The amount of money that a producer receives in exchange for the sale of goods is known as revenue. In short, revenue means sales revenue. It is the amount received by a firm from the sale of a given quantity of a commodity at the prevailing price in the market. For example, if a firm sells 10 books at the price of ₹100 each, the total revenue will be ₹1000.

4.6.1 Revenue Concepts

The three basic revenue concepts are: Total Revenue, Average Revenue and Marginal Revenue.

a) Total Revenue:

Total revenue is the amount of income received by the firm from the sale of its products. It is obtained by multiplying the price of the commodity by the number of units sold.

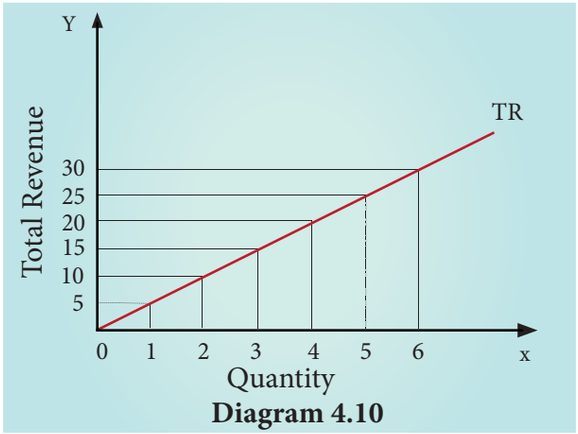


Diagram 4.10

Table 4.8
Total Revenue - Constant Price

Quantity sold (Q)	Price (P)	Total Revenue (TR)
1	5	5
2	5	10
3	5	15
4	5	20
5	5	25
6	5	30

$$TR = P \times Q$$

where,

TR denotes Total Revenue,

P denotes Price and

Q denotes Quantity sold.

For example, a cell-phone company sold 100 cell-phones at the price of ₹ 500 each. TR is ₹ 50,000. (TR= 500 × 100 = 50,000).

When price is constant, the behaviour of TR is shown in table 4.8 and diagram 4.10, assuming P=5. When P = 5; TR = PQ

When price is declining with increase in quantity sold. (Eg. Imperfect Competition on the goods market) the behaviour of TR is shown in table 4.9 and diagram 4.11. TR can be obtained from Demand fuction: If Q = 11–P,

When P = 1, Q = 10

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